

# M/S Srinathji Ispat Limited And Others v. U.P. Power Corporation Ltd. And Others

Allahabad High Court · Division Bench · 19 April 2018 · Writ - C No. 59372 of 2012 · **Writ dismissed in default; 2012 interim order vacated**

## HEADNOTE

Industrial consumers challenged bills applying U.P. Power Corporation Ltd.'s New Tariff for 2012-13 from 1 October 2012, though the tariff was published in the newspaper on 23 October 2012. They did not dispute the U.P. Electricity Regulatory Commission's determination; they said Clause 3.8(a) of the U.P. Electricity Supply Code, 2005, section 24(7) of the U.P. Electricity Reforms Act, 1999 and Regulation 139(2) of the UPERC (Conduct of Business) Regulations, 2004 allow a tariff to take effect only seven days after publication, so the New Tariff could operate from 31 October 2012 and not from 1 October 2012. On 22 November 2012 the Division Bench held that the matter required consideration, issued notice, and directed that supply would not be disconnected on the impugned bills if, from 1 November 2012, bills were paid at the New Tariff, October 2012 was paid at the prior tariff, pre-October amounts in those bills were paid, and a bank guarantee covered the October difference, all without prejudice. On 19 April 2018 none appeared to press the writ even in the revised call. The writ was dismissed in default and the interim order vacated. The Court did not decide whether the New Tariff could be given retrospective effect.

## FACTUAL SUMMARY

M/S Srinathji Ispat Limited and others challenged U.P. Power Corporation Ltd. bills applying the New Tariff for 2012-13 from 1 October 2012. They said UPPCL published that tariff on 23 October 2012 yet gave it effect from 1 October 2012. They did not dispute the U.P. Electricity Regulatory Commission's determination, which they impleaded as respondent no. 6; they objected only to retrospective operation. Invoking Clause 3.8(a) of the U.P. Electricity Supply Code, 2005, section 24(7) of the U.P. Electricity Reforms Act, 1999, Regulation 139(2) of the UPERC (Conduct of Business) Regulations, 2004, and section 62(6) of the Electricity Act, 2003, they argued a published tariff takes effect only seven days after publication, so the New Tariff could operate from 31 October 2012, not 1 October 2012.

On 9 November 2012 the writ was listed for the licensee's instructions. On 22 November 2012 notice issued and disconnection was stayed on payment and bank-guarantee conditions. On 19 April 2018 none appeared to press the petition even in the revised call.

## HOLDING-UNITS

### HOLDING-UNIT · UP-2005::3.8

Challenge to retrospective New Tariff; writ dismissed in default

### HOLDING

On 22 November 2012 the Court recorded the petitioners' case that the New Tariff for 2012-13, published on 23 October 2012, could not be given effect from 1 October 2012 because Clause 3.8(a) of the U.P. Electricity Supply Code, 2005, section 24(7) of the U.P. Electricity Reforms Act, 1999 and Regulation 139(2) of the 2004 Conduct of Business Regulations provide that a tariff takes effect only seven days after publication, and because section 62(6) of the Electricity Act, 2003 bars recovery in excess of the determined tariff. It held that the matter required consideration, issued notice, and, pending admission, directed that supply would not be disconnected on the impugned bills if (i) from 1 November 2012 each petitioner paid at the New Tariff, (ii) October 2012 was paid at the prior tariff by 10 December 2012, (iii) any pre-October amount in those bills was paid by that date, and (iv) a bank guarantee for the October difference was furnished by that date, failing which the interim would stand vacated, all without prejudice, with surcharge and interest recoverable if the writ failed. On 19 April 2018 none appeared to press the writ even in the revised call; the writ was dismissed

in default and the interim order vacated, without construing Clause 3.8 or deciding retrospective effect.

¶ order of 22.11.2012, order of 19.4.2018

#### QUALIFIER

Interlocutory 22.11.2012; dismissed in default on 19.4.2018 without a merits construction.

**FLAG** Thin procedural record of three unnumbered sittings. 9.11.2012 is listing for instructions; 22.11.2012 (Satya Poot Mehrotra and Het Singh Yadav, JJ.) is notice and the conditional stay; 19.4.2018 (Bharati Sapru and Siddharth, JJ.) is dismissal in default. Clause 3.8(a), s.24(7) Reforms Act, Regulation 139(2) and s.62(6) are as invoked; they were not construed. Catalog false-positives (EA1999(UP)::24-tariff-fact-forum; s135-1A-24-hour-FIR-is-mandatory; s62-6-interest-generation-tariff; s62-6-interest-only-for-overcharging-not-delayed-rebate) are not used.

#### INTERPLAY · OFFTOPIC::dismissal-in-default-and-want-of-prosecution

Writ dismissed in default when none appeared to press; interim vacated

#### HOLDING

On 19 April 2018 the list was revised, none appeared to press the writ petition, and it was dismissed in default. The 22 November 2012 interim order stood vacated. The Court did not decide whether the New Tariff could be given effect from 1 October 2012. ¶ order of 19.4.2018

#### PRINCIPLE TAGS

**writ-dismissed-in-default-and-for-want-of-prosecution** After a 22.11.2012 without-prejudice stay of disconnection on bills applying the New Tariff from 1.10.2012, none appeared to press the writ in the revised call of 19.4.2018; the petition was dismissed in default and the interim order vacated, leaving the Clause 3.8 / retrospective-tariff point undecided. ¶ order of 19.4.2018

**writ-dismissed-for-want-of-prosecution-interim-vacated** Dismissal in default on non-appearance vacated the 22.11.2012 conditional stay of disconnection; no ruling was given on the bills or on retrospective tariff. ¶ order of 19.4.2018

#### NOT DECIDED — NEGATIVE AUTHORITY

##### NOT DECIDED — WHETHER THE NEW TARIFF FOR 2012-13, PUBLISHED ON 23.10.2012, COULD LAWFULLY BE GIVEN EFFECT FROM 1.10.2012

The 22.11.2012 order said only that the matter required consideration and granted a conditional stay; dismissal in default left retrospective effect unadjudicated. ¶ order of 22.11.2012, order of 19.4.2018

##### NOT DECIDED — CONSTRUCTION OF CLAUSE 3.8(A) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005, SECTION 24(7) OF THE U.P. ELECTRICITY REFORMS ACT, 1999, AND REGULATION 139(2) OF THE UPERC (CONDUCT OF BUSINESS) REGULATIONS, 2004

Invoked for the seven-day publication rule; not construed. ¶ order of 22.11.2012

##### NOT DECIDED — WHETHER SECTION 62(6) OF THE ELECTRICITY ACT, 2003 BARRED RECOVERY OF THE NEW TARIFF FOR OCTOBER 2012

Cited as a bar on recovering tariff in excess of that determined under section 62; not examined. Catalog interest-on-s.62(6) tags do not apply. ¶ order of 22.11.2012